



CONCEPTUAL FRAMEWORK

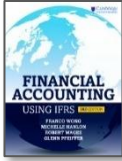
RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

CLASS NOTES

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WELCOME



FOUNDATIONS

Class 1

Introducing financial accounting

Class 2

Conceptual framework

Class 3

Analysing transactions (1/2)

Class 4

Analysing transactions (2/2)

ANALYSIS

Class 5

Reporting and analysing cash flows

Class 6

Analysing and interpreting financial statements

OPERATIONS

Class 7

Revenues & receivables

Class 8

Inventories and current liabilities

INVESTING & FINANCING

Class 9

Long-term operating assets

Class 10

Financial investments

Class 11

Debt and equity
Course review

CLASSWORK (~ 4.5 to 8 hours)

BEFORE CLASS (~ 1 hour):

- ☐ (30 min) Read the textbook relating to the learning outcomes for this class. Focus on pp. 24-26, and 40-49.
- ☐ (30 min) Prepare “rough” point-form answers to the exercises. Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify concepts.

ONGOING WORK (~ 0.5 to 1 hour)

- ☐ (15-30 min) Complete the Weekly Assignment on [Quercus](#).
- ☐ (15-30 min) Complete the Planning for Success: Introduction and Goal-Setting Exercise (3%) on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 1 (pp. 17-20, 24-26)

- ☐ LO4 | Describe the institutions that regulate financial accounting and their role in establishing generally accepted accounting principles. (pp. 17-20)
- ☐ LO6 | Appendix 1A: Explain the conceptual framework for financial reporting. (pp. 24-26)

READINGS: Ch. 2 (pp. 40-49)

- ☐ LO1 | Describe and construct the balance sheet and understand how it can be used for analysis. (pp. 40-45)
- ☐ LO2 | Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)

READINGS: Ch. 12 (pp. 545-550)

- ☐ LO 1 | Prepare and analyse common-size financial statements. (pp. 545-550)

WARM-UP

Financial statement analysis – four lenses:

1.

STRATEGIC

Identify profit potential & business risks
2.

ACCOUNTING

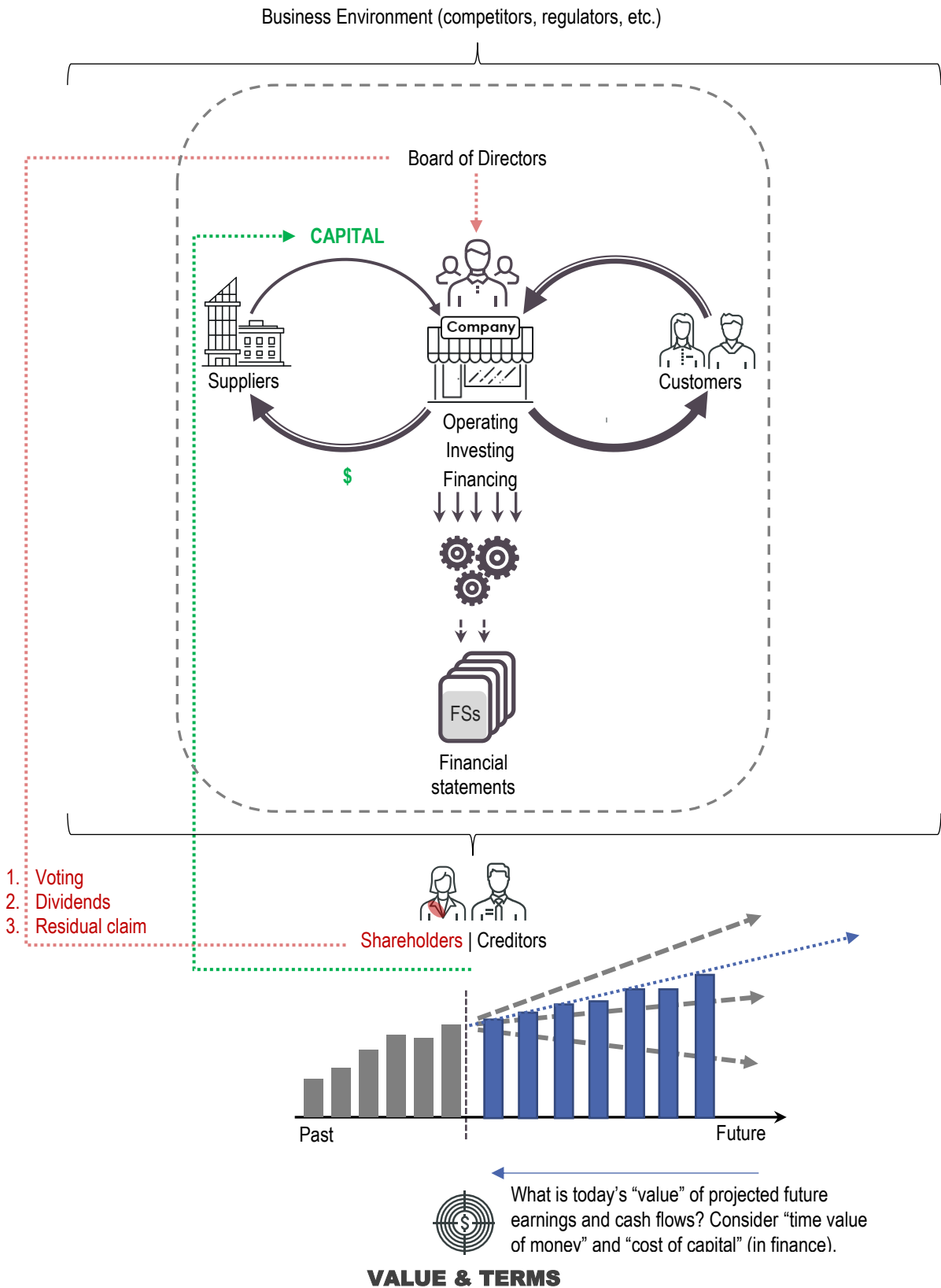
Evaluate quality & adjust to “reality”
3.

FINANCIAL

Evaluate performance, risk, & sustainability
4.

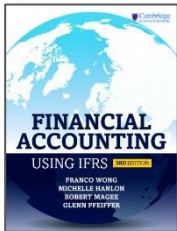
PROSPECTIVE

Forecast & value



PART 1: COMMON-SIZE ANALYSIS

KEY POINT | Common-size analysis helps us see patterns in financial statements



Chapter 12 | LO 1

Prepare and analyse common-size financial statements. (pp. 545-550)

Note: We briefly jump to Chapter 12 to introduce common-size analysis, which is a helpful tool for evaluating the financial statements. We will return to Chapter 12 later in the course.

- ❑ **Common-size analysis** is a technique used in financial statement analysis where each line item in a financial statement is expressed as a percentage of a base figure. This method allows for easy comparison across different periods and between companies of varying sizes by standardizing the financial data.
- ❑ **Vertical analysis:** provides a way to understand the relative significance of each item in a financial statement.
 - ❑ **Income statement:** each line item is generally represented as a % of net sales (revenues)
 - ❑ **Balance sheet:** each line item is generally presented as a % of total assets
- ❑ **Horizontal analysis:** involves comparing financial data across multiple periods to identify trends and growth patterns. This method highlights changes in financial statement items over time by showing the dollar and percentage increase or decrease from one period to the next.



EXERCISE 1.1a: Income statements

REFLECT: Analyze the income statements (below). How would you describe the “story” of Apple over the past few years? Use both horizontal and vertical analysis to evaluate the changes in the following four areas: 1) revenues/sales, 2) gross margin (labeled “gross margin” by Apple, 3) operating income, and 4) net income.

CONSIDER THE FOLLOWING:

- ❑ **REVENUES:** Notice the recovery in product sales, following a decline in FY2023 and FY2024 (also referred to as “revenues” or “the top line”); in addition, notice the accelerating growth in services.
- ❑ **GROSS MARGIN:** Gross margin continues to increase, especially as % of sales. Service gross margins have grown to 75.4% in FY2025 (calculated as $(109,158 - 26,844) / 109,158 = 75.4\%$). Product margins rose to 36.8% in FY2025. Very positive.
- ❑ **OPERATING INCOME:** Improvement in operating income is largely driven by expanding gross margin and is partially offset by increasing operating expenses (e.g., notice that research and development is reported as expense, reducing earnings).
- ❑ **NET INCOME or EARNINGS:** Note the record net income (also referred to as “net profit”, “the bottom line”, or “EARNINGS”), as in FY2025, following two years of declines.

(USD \$, in millions) Income Statement, for fiscal years ended:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of sales	FY2024 %of sales
Net sales:								
Products	307,003	294,866	298,085	316,199	4.1%	-1.1%	73.8%	75.4%
Services	109,158	96,169	85,200	78,129	13.5%	12.9%	26.2%	24.6%
Total net sales	416,161	391,035	383,285	394,328	6.4%	2.0%	100.0%	100.0%
Cost of sales:								
Products	194,116	185,233	189,282	201,471	4.8%	-2.1%	46.6%	47.4%
Services	26,844	25,119	24,855	22,075	6.9%	1.1%	6.5%	6.4%
Total cost of sales	220,960	210,352	214,137	223,546	5.0%	-1.8%	53.1%	53.8%
Gross margin	195,201	180,683	169,148	170,782	8.0%	6.8%	46.9%	46.2%
Operating expenses:								
Research and development	34,550	31,370	29,915	26,251	10.1%	4.9%	8.3%	8.0%
Selling, general and administrative	27,601	26,097	24,932	25,094	5.8%	4.7%	6.6%	6.7%
Total operating expenses	62,151	57,467	54,847	51,345	8.2%	4.8%	14.9%	14.7%
Operating income	133,050	123,216	114,301	119,437	8.0%	7.8%	32.0%	31.5%
Other income and expense	(321)	269	(565)	(334)	-219.3%	-147.6%	-0.1%	0.1%
Income before provision for income taxes	132,729	123,485	113,736	119,103	7.5%	8.6%	31.9%	31.6%
Provision for income taxes	20,719	29,749	16,741	19,300	-30.4%	77.7%	5.0%	7.6%
Net income	112,010	93,736	96,995	99,803	19.5%	-3.4%	26.9%	24.0%

EXERCISE 1.1b: Balance sheets

REFLECT: Analyze Apple's balance sheets (below). Use both horizontal and vertical analysis to evaluate the main assets and liabilities on the balance sheet, and how they are changing. Does the balance sheet "balance", and why?



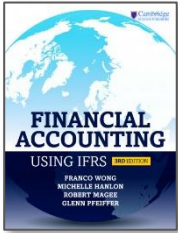
ASSETS = LIABILITIES + EQUITY

- ❑ **RETAINED EARNINGS:** Note that despite being extremely profitable (we noticed on the income statement that earnings in FY2025 were about \$112 billion), Apple has an accumulated deficit of \$14.3 billion (negative retained earnings, see FY2025 retained earnings line in balance sheet, below). This accumulated deficit is driven by aggressive distributions through share-repurchase programmes and cash dividends. Share repurchases are complex, but we will cover the basics later in the course.
- ❑ **MARKETABLE SECURITIES:** It may be surprising that combined short- and long-term marketable securities are Apple's largest broad asset category. These generally include investments in both debt and equity instruments that can easily be sold.
- ❑ **INVENTORIES:** Notice how small inventories are as a % of total assets (and how they fell in FY2025 despite increases in sales).
- ❑ **DEBT:** Notice that Apple has significant debt, despite having significant marketable securities and being extremely profitable.
- ❑ **OVERALL:** Notice that reported equity of about \$73.7 billion is much lower than the "market value" of equity (not reported on the balance sheet but estimated as market price of each share x total number of shares outstanding).

(USD \$, in millions)	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of assets	FY2024 %of assets
Balance Sheet, as at:								
ASSETS:								
Current assets:								
Cash and cash equivalents	35,934	29,943	29,965	23,646	20.0%	-0.1%	10.0%	8.2%
Short-term marketable securities	18,763	35,228	31,590	24,658	-46.7%	11.5%	5.2%	9.7%
Accounts receivable, net	39,777	33,410	29,508	28,184	19.1%	13.2%	11.1%	9.2%
Inventories	5,718	7,286	6,331	4,946	-21.5%	15.1%	1.6%	2.0%
Vendor non-trade receivables	33,180	32,833	31,477	32,748	1.1%	4.3%	9.2%	9.0%
Other current assets	14,585	14,287	14,695	21,223	2.1%	-2.8%	4.1%	3.9%
Total current assets	147,957	152,987	143,566	135,405	-3.3%	6.6%	41.2%	41.9%
Non-current assets:								
Long-term marketable securities	77,723	91,479	100,544	120,805	-15.0%	-9.0%	21.6%	25.1%
Property, plant and equipment, net	49,834	45,680	43,715	42,117	9.1%	4.5%	13.9%	12.5%
Other non-current assets	83,727	74,834	64,758	54,428	11.9%	15.6%	23.3%	20.5%
Total non-current assets	211,284	211,993	209,017	217,350	-0.3%	1.4%	58.8%	58.1%
TOTAL ASSETS	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%
LIABILITIES AND SHAREHOLDERS' EQUITY:								
Current liabilities:								
Accounts payable	69,860	68,960	62,611	64,115	1.3%	10.1%	19.4%	18.9%
Other current liabilities	66,387	78,304	58,829	60,845	-15.2%	33.1%	18.5%	21.5%
Deferred revenue	9,055	8,249	8,061	7,912	9.8%	2.3%	2.5%	2.3%
Commercial paper	7,979	9,967	5,985	9,982	-19.9%	66.5%	2.2%	2.7%
Term debt	12,350	10,912	9,822	11,128	13.2%	11.1%	3.4%	3.0%
Total current liabilities	165,631	176,392	145,308	153,982	-6.1%	21.4%	46.1%	48.3%
Non-current liabilities:								
Term debt	78,328	85,750	95,281	98,959	-8.7%	-10.0%	21.8%	23.5%
Other non-current liabilities	41,549	45,888	49,848	49,142	-9.5%	-7.9%	11.6%	12.6%
Total non-current liabilities	119,877	131,638	145,129	148,101	-8.9%	-9.3%	33.4%	36.1%
Total liabilities	285,508	308,030	290,437	302,083	-7.3%	6.1%	79.5%	84.4%
Shareholders' equity:								
Common stock	93,568	83,276	73,812	64,849	12.4%	12.8%	26.0%	22.8%
Retained earnings (accumulated deficit)	(14,264)	(19,154)	(214)	(3,068)	-25.5%	8850.5%	-4.0%	-5.2%
Accumulated OCI/(loss)	(5,571)	(7,172)	(11,452)	(11,109)	-22.3%	-37.4%	-1.6%	-2.0%
Total shareholders' equity	73,733	56,950	62,146	50,672	29.5%	-8.4%	20.5%	15.6%
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%

PART 2: CONCEPTUAL FRAMEWORK OF FINANCIAL REPORTING

#1 | ASSETS – LIABILITIES = EQUITY ↔ ASSETS = LIABILITIES + EQUITY

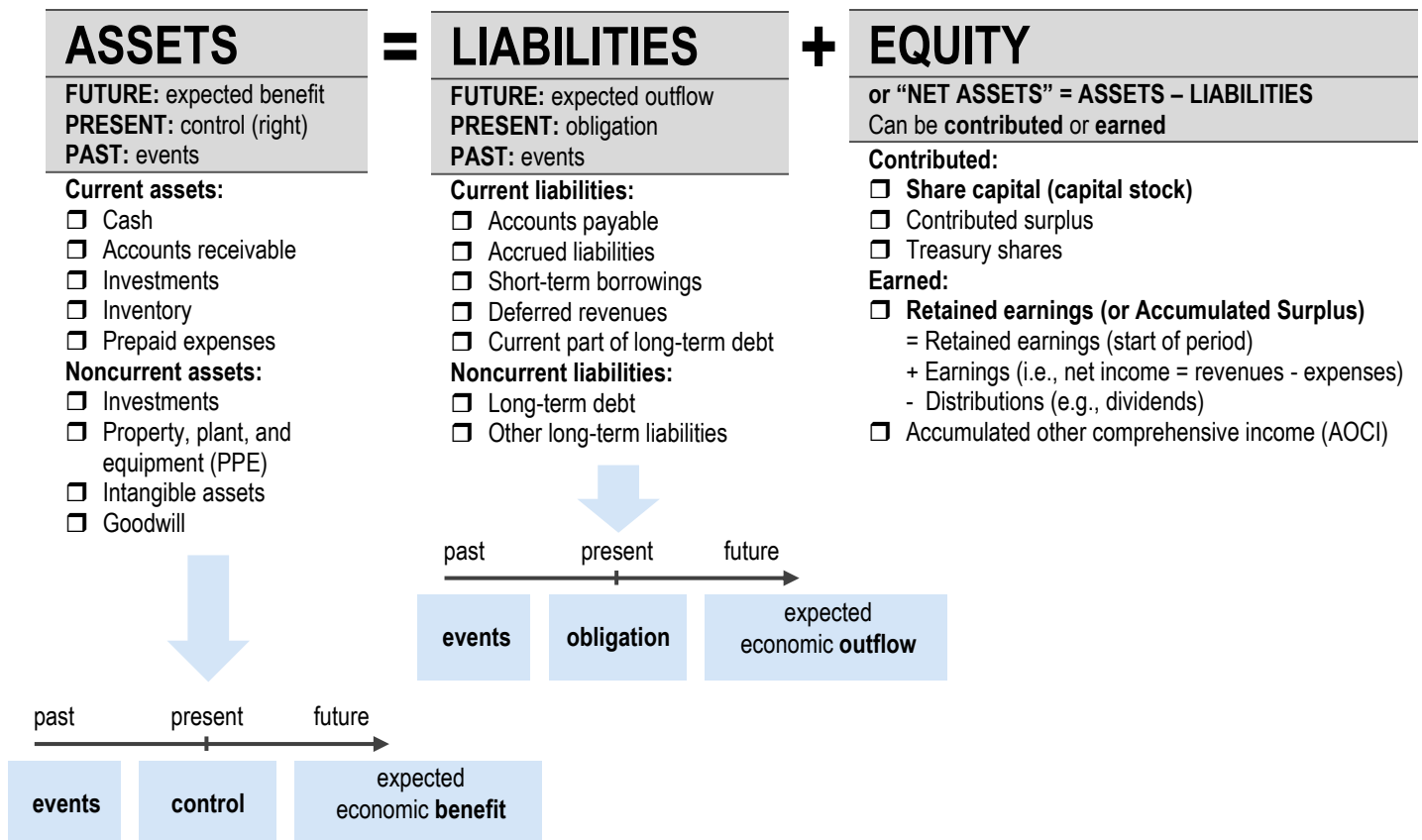


Chapter 2 | LO 1

Describe and construct the balance sheet and understand how it can be used for analysis. (pp. 40-45)

Recall the key elements of financial statements:

- ☐ **Assets** are present economic resources controlled by the organization. They are based on past events and are expected to provide future economic benefits. Current assets are expected to be used up or converted in cash within the next year (or operating cycle, if longer).
- ☐ **Liabilities** represent an obligation for future outflows based on a past transaction or event. Current liabilities represent obligations that are due within the next year (or operating cycle, if longer).
- ☐ **EQUITY (or NET ASSETS) = Assets – Liabilities**
 - ☐ There are two key components of equity:
 - ☐ **Contributed capital** represents net amount of funding contributed directly by shareholders. This is commonly done by issuing shares in exchange for funding.
 - ☐ **Earned capital** represents accumulation of amounts earned through company's ongoing activities (e.g., by operating profitably)
 - ☐ Notice that earnings (net income or net profits) represent increases in earned capital
 - ☐ **Income** (which includes revenues and gains) represents increases in equity, other than related to contributions from shareholders.
 - ☐ **Expenses** represent decreases in equity (other than directly related to shareholders)
 - ☐ In this course, we will focus primarily on revenues and expenses before introducing gains and losses later.



EXERCISE 2.1a: Current assets

Common current assets include the following (see textbook, p. 42):

Cash: currency, bank deposits, certificates of deposit and other cash equivalents

Marketable securities: short-term investments that can be quickly sold to raise cash

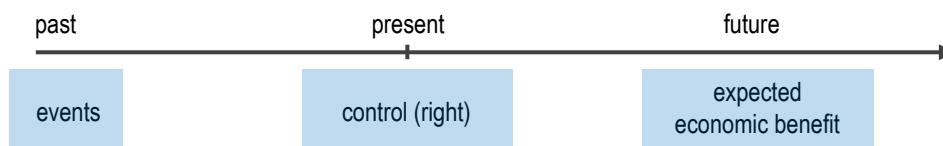
Accounts receivable: amounts due to the company from customers arising from the sale of products or services on credit

Inventory: goods purchased or produced for sale to customers

Prepaid expenses: costs paid in advance for rent, insurance, or other services



REFLECT: Why are these “assets”? Use the table below to explore the definition of an asset for each item.



ACCOUNT	PAST	PRESENT	FUTURE
“ASSET”	Event(s)	Control (right)	Expected economic benefit
Cash	Cash transactions, such as issuance of shares, sale of inventory, or sale of marketable securities, etc.	Have legal right and access to the cash (e.g., company's own bank account)	Cash can be used to invest in future, or returned to shareholders
Marketable securities	Purchase of marketable securities on the open market	Have legal right to the securities as a result of a legitimate purchase (have record of purchase and holding, such as through brokerage account)	Expected collection of cash when marketable securities are sold
Accounts receivable	Sold and delivered inventory or provided service to customer (i.e., completed work and satisfied 'performance obligation')	Have contractually enforceable right to collect cash (as work has been performed)	Expected cash collection from customer
Inventory	Purchased from a supplier or manufactured internally	Have contractually enforceable right to the inventory (for example, as a result of paying for it and having possession)	Expect to sell in the future at a profit and collect the cash
Prepaid expenses (assets)	Paid in advance for services (or supplies) that haven't been used yet	Have contractual rights to use the services (or supplies) in the future – without additional payments	Future use of services/supplies in the process of generating revenues – without additional cash outflows

EXERCISE 2.1b: Non-current assets

Common non-current assets include the following (see textbook, p. 42):

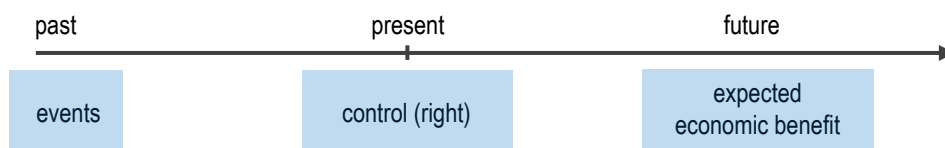
Long-term financial investments: investments in debt or equity securities of other firms that management does not intend to sell in the near future

Property, plant and equipment (PPE): land, factory buildings, warehouses, office buildings, machinery, office equipment, and other items used in the operations of the company

Intangible and other assets: patents, trademarks, franchise rights, goodwill, and other items that provide future benefits, but do not possess physical substance



REFLECT: Why are these “assets”? Use the table below to explore the definition of an asset for each item.



ACCOUNT	PAST	PRESENT	FUTURE
“ASSET”	Event(s)	Control (right)	Expected economic benefit
Long-term investments	Purchase of shares (or debt securities) is completed	Have legal right to the shares (or debt securities) of another company as a result of a legitimate purchase (have record of purchase and holding, such as through brokerage account)	Expected collection of cash when investment is sold, and potential dividends (or interest) during the holding period
Property, plant and equipment (PPE)	Acquired or constructed with the intention or current use to support operations for the long-term	Have contractual right to the tangible “infrastructure” item (e.g., land, buildings, or equipment)	Expected future cash inflows from the use of the item (e.g., land, buildings, or equipment) in supporting (and enhancing) operations – or avoidance of cash outflows
Intangible assets	Acquired or constructed with the intention or current use to support operations for the long-term	Have contractual right to the intangible item (e.g., patent, trademark, copyright, etc.)	Expected future cash inflows from the use of the item in supporting (and enhancing) operations – or avoidance of cash outflows
Goodwill	Past acquisition of another company for a price in excess of the fair value of net identifiable assets	Have contractual right to the stake in the company (which includes the expected benefits)	Expected future cash inflows from enhanced profitability due to synergies, reputation, or other factors that cannot be separated from the business

EXERCISE 2.1c: Car lease

Assume that a company leased a Tesla Model Y for business use by one of the employees. The terms of the lease include monthly payments of \$700/month over the next 4 years.

REFLECT: Use the basic definitions to conceptually understand this transaction.

- ☐ The “right to use” the car (contractual, exclusive, and legally enforceable right) would represent an asset. Notice that the “car” itself (physical object) is not the focus here. Instead, the lease provides the right to use the car.
- ☐ The obligation for the payments represents a liability.



EXERCISE 2.1d: Liabilities

Common liabilities include the following (see textbook, pp. 43-44):

Current liabilities:

Accounts payable: amounts owed to suppliers for goods and services purchased on credit

Accrued liabilities: obligations for expenses that have been recorded but not yet paid

Short-term borrowings: short-term debt payable to banks or other creditors

Deferred (unearned) revenue: an obligation created when the company accepts payment in advance for goods or services it will deliver in the future

Current maturities of long-term debt: the portion of long-term debt that is due to be paid within one year

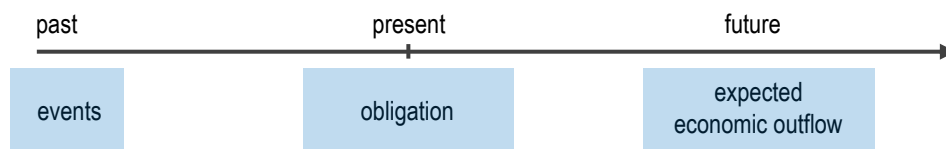
Non-current liabilities:

Long-term debt: amounts borrowed from creditors that are scheduled to be repaid more than one year in the future

Other long-term liabilities: various obligations, such as warranty and deferred compensation liabilities, long-term tax liabilities

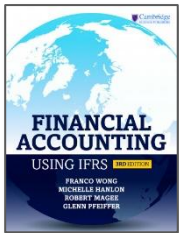


REFLECT: Why are these “liabilities”? Use the table below to explore the definition of a liability for each item.



ACCOUNT	PAST	PRESENT	FUTURE
“LIABILITY”	Event(s)	Obligation	Expected economic outflow
Accounts payable	Purchased and received goods or services from a supplier “on credit” (i.e., without paying cash)	Contractual obligation to pay for goods or services that have been delivered by the supplier	Future cash outflow to satisfy the obligation to the supplier
Accrued liabilities	Received services that have been performed by suppliers – but haven’t paid for them (e.g., work done by employees)	Contractual obligation to pay employees based on the work performed but yet unpaid	Future cash outflows to satisfy the obligation to employees
Short-term borrowing	Borrowed cash (on a short-term basis) from the bank or other lender	Contractual obligation to repay the borrowed cash, and any accrued interest	Future cash outflows to repay borrowed amounts (including accrued interest)
Deferred revenue	Receipt of cash payment from customers for work that is yet to be completed	Contractual obligation to satisfy performance obligations (e.g., deliver goods or provide services)	Satisfy performance obligations under contract

#2 | Equity represents the residual interest of shareholders (contributed & earned)



Chapter 2 | LO 1

Describe and construct the balance sheet and understand how it can be used for analysis. (pp. 40-45)

Chapter 2 | LO 5

Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)

Common equity balances include the following (see textbook, p. 44):

Contributed capital:

***Share capital:** the par value or stated value of shares issued to the primary owners of the company*

***Contributed surplus:** amounts received from the primary owners in addition to the par value or stated value of the common shares*

***Treasury shares:** the amount paid to reacquire the company's own common shares*

Earned capital:

***Retained earnings:** the accumulated earnings that have not been distributed to shareholders as dividends*

***Accumulated other comprehensive income or loss:** accumulated changes in equity that are not reported in the income statement*



Share capital is often reported with labels like “common shares” or “capital stock”.

Contributed surplus is also reported as “additional paid-in capital”.

EXERCISE 2.2: Shareholders' equity

Tesla Inc. reported the following balances in its 2025 financial statements (in USD, millions):

- ☐ Retained earnings (December 31, 2024): \$35,209
- ☐ Retained earnings (December 31, 2025): \$39,003
- ☐ Net income attributable to shareholders in 2025: \$3,794

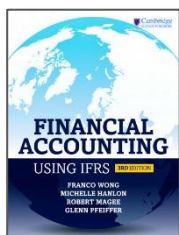


REFLECT: Did Tesla declare any dividends in 2025? Explain.

Notice the following:

- ☐ **Context:** In accounting, retained earnings represent the cumulative amount of *earnings* (or net income) that a company has kept (or retained) rather than distributed to shareholders (generally, as dividends). A simple formula to calculate retained earnings at the end of a period is:
 - o Ending Retained Earnings = Beginning Retained Earnings + Net Income – Distributions (including dividends)
 - o This means that any profit the company makes during the year (net income) is added to the beginning retained earnings. If the company decides to pay dividends to shareholders, that amount is subtracted from retained earnings.
- ☐ **Analysis:** We can use the formula to see if Tesla paid any dividends in 2025:
 - o $\$39,003$ (Ending Retained Earnings) = $\$35,209$ (Beginning Retained Earnings) + $\$3,794$ (Net Income) – Distributions
 - o $\text{Distributions} = \$35,209 + \$3,794 - \$39,003 = 39,003 - \$39,003 = \$0$
- ☐ **Conclusion:** The calculation suggests that Tesla did not have any distributions in 2025. This suggests that it did not declare any dividends. The increase in retained earnings from \$35,209 million to \$39,003 million exactly matches the net income of \$3,794 million for the year. This suggests that Tesla retained all of its earnings rather than distributing any of it to shareholders as dividends.
- ☐ **Key Takeaway:** For a company like Tesla, which is likely focused on growth and reinvestment, retaining earnings rather than declaring and paying dividends allows it to use that profit to fund operations, invest in new projects, or pay down debt. Understanding retained earnings is important because it shows how much profit a company has decided to reinvest back into itself rather than returning to shareholders.

#3 | Objective of financial reporting is to provide useful information



Chapter 1 | LO 6 (Appendix 1A) (pp. 24-26)

“The **objective of general purpose financial reporting is to provide information about the reporting entity that is useful** to current and potential investors, lenders, and other creditors in making decisions about investing in equity or debt instruments and providing or settling loans or other forms of credit. These users need information that is useful for assessing the amount, timing, and uncertainty of future cash flows. They also need information for evaluating how effectively and efficiently management and governing boards have discharged their stewardship duties over the entity’s resources”. (p. 24)

Fundamental qualitative characteristics:

☐ Financial information is useful when it is both

- ☐ **Relevant:** capable of making a difference in the decision of users (having predictive value, confirmatory value, or both); and
- ☐ **Faithfully represents economic phenomena** in words and numbers (being complete, neutral, and free from error).
- ☐ **Materiality** is considered from the perspective of users. Information is “material” if its omission or misstatement could reasonably be expected to change the economic decisions of users (e.g., investors, creditors, etc.).

EXERCISE 2.3: Materiality

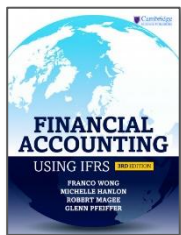
REFLECT: Consider Apple’s income statement below. As a potential investor, why would you consider Apple’s reported revenue to be “material” to your investment decision? How could a misstatement or omission of this revenue figure impact your decision to invest in Apple?

CONSIDER THE FOLLOWING:

- ☐ For a potential investor, Apple’s reported revenue is material because it is a significant indicator of the company’s financial health.
- ☐ While a \$1 omission wouldn’t be material, large omissions or misstatements would be, impacting investor decisions.
- ☐ This materiality ties directly to the qualitative characteristics of relevance and representational faithfulness, ensuring that financial information is useful.

(USD \$, in millions) Income Statement, for fiscal years ended:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of sales	FY2024 %of sales
Net sales:								
Products	307,003	294,866	298,085	316,199	4.1%	-1.1%	73.8%	75.4%
Services	109,158	96,169	85,200	78,129	13.5%	12.9%	26.2%	24.6%
Total net sales	416,161	391,035	383,285	394,328	6.4%	2.0%	100.0%	100.0%
Cost of sales:								
Products	194,116	185,233	189,282	201,471	4.8%	-2.1%	46.6%	47.4%
Services	26,844	25,119	24,855	22,075	6.9%	1.1%	6.5%	6.4%
Total cost of sales	220,960	210,352	214,137	223,546	5.0%	-1.8%	53.1%	53.8%
Gross margin	195,201	180,683	169,148	170,782	8.0%	6.8%	46.9%	46.2%
Operating expenses:								
Research and development	34,550	31,370	29,915	26,251	10.1%	4.9%	8.3%	8.0%
Selling, general and administrative	27,601	26,097	24,932	25,094	5.8%	4.7%	6.6%	6.7%
Total operating expenses	62,151	57,467	54,847	51,345	8.2%	4.8%	14.9%	14.7%
Operating income	133,050	123,216	114,301	119,437	8.0%	7.8%	32.0%	31.5%
Other income and expense	(321)	269	(565)	(334)	-219.3%	-147.6%	-0.1%	0.1%
Income before provision for income taxes	132,729	123,485	113,736	119,103	7.5%	8.6%	31.9%	31.6%
Provision for income taxes	20,719	29,749	16,741	19,300	-30.4%	77.7%	5.0%	7.6%
Net income	112,010	93,736	96,995	99,803	19.5%	-3.4%	26.9%	24.0%

#4 | Usefulness is enhanced by comparability, verifiability, timeliness, and understandability

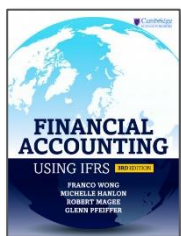


Chapter 1 | LO 6 (Appendix 1A) (pp. 24-26)

Usefulness of information is enhanced by the following qualitative characteristics:

- ☐ **Comparability:** financial information should allow comparisons across companies
- ☐ **Verifiability:** knowledgeable and independent observers could reach consensus
- ☐ **Timeliness:** information needs to be timely to be incorporated into decision-making
- ☐ **Understandability:** information should be clear and concise, making it comprehensible to knowledgeable users

#5 | Understanding financial reporting assumptions helps us interpret financial information



Chapter 1 | LO 6 (Appendix 1A) (pp. 24-26)

Underlying assumptions and features:

- ☐ **Going concern:** company will continue to operate for the foreseeable future
- ☐ **Reporting frequency:** we can report financial performance at regular intervals (e.g., public companies report quarterly and annually).
- ☐ **Consistency:** information should be presented in line with past practices
- ☐ **Cost constraint:** cost of providing information should not exceed the benefits



Review Chapter 1 | LO 6 (Appendix 1A) (pp. 24-26)

There are 3 key issues in accounting:

- ☐ **Recognition: WHEN** to recognize an element (e.g. specific asset)?
 - 1) meet the definition of an element, AND
 - 2) be measurable.
 - Note: If an item cannot be measured with sufficient confidence, then it is not recognized in the financial statements.
- ☐ **Measurement: HOW MUCH** (or what value to assign to the element)?
 - Two common measurement bases are
 - 1) historical cost, and
 - 2) "fair value".
- ☐ **Presentation/disclosure: HOW and WHERE** to report?
 - This addresses the way that information is presented in the financial statements and notes.

EXERCISE 2.6a: Apple's "brand" assets

Assume that during a discussion about Apple and Tesla, one of your classmates said the following: "Apple is an amazing company. After all, they have such a great brand. That brand is clearly their biggest asset".



REFLECT: Looking at the balance sheet of Apple, we don't see a separate line item relating to "brand". Why do you think this is?

- ☐ First, we need to be clear about what we mean by "brand".
- ☐ If we are referring to constructs that can be legally enforced (e.g., forms of intellectual property), then these might be reported on the balance sheet. However, their "fair value" is hard to estimate so they might be measured "at cost", if at all.
- ☐ When it comes to "reputation" or how customers "feel" about the company, these are clearly not reported. After all, Apple doesn't "control" or have access to these (nor can they reliably measure their value).
- ☐ BONUS: Accounting guidelines are dynamic. In 2024, the International Accounting Standards Board (IASB) started a project to enhance the usefulness of information relating to intangible assets. This project explores whether today's guidance still fits a data-driven, AI-heavy economy. For example, how do current concepts of *control* and *measurement* handle assets like cryptocurrencies, carbon credits, or even cloud-software code and large language-model training data? The project is still in the research phase, but it is an example of how accounting adapts as business models change. You can find out more on the IFRS Foundation's [Intangible Assets](#) page.

EXERCISE 2.6b: Apple's people

Many leaders can be heard saying that people are their organization's "biggest asset".

REFLECT: Looking at the balance sheet of Apple, we don't see a separate line item relating to "people". Why do you think this is? Do you think that people like [Tim Cook](#) (CEO of Apple) are an "asset" to the company? How do you think Apple's transactions with these individuals are reported in Apple's financial statements?



- ☐ Once again, the issue rests on two requirements:
 - 1) does Apple have "control" over these "assets" and to what extent (consider, for example, professional sports teams versus typical employment arrangements),
 - and 2) can these benefits be reliably valued?
- ☐ Since the answer to both is generally "no", these "assets" are generally not reported on the balance sheet.
- ☐ Transactions with key individuals like Tim Cook are reported as expense on the income statements. This includes salaries, bonuses, stock-based compensation, and other forms of compensation.

EXERCISE 2.6c: Apple's research and development

REFLECT: During the fiscal year ending September 27, 2025, Apple reported research and development expenses of about \$34.6 billion. What impact did this have on Apple's profits? What impact do you expect these research and development expenses to have on the future profits of Apple?

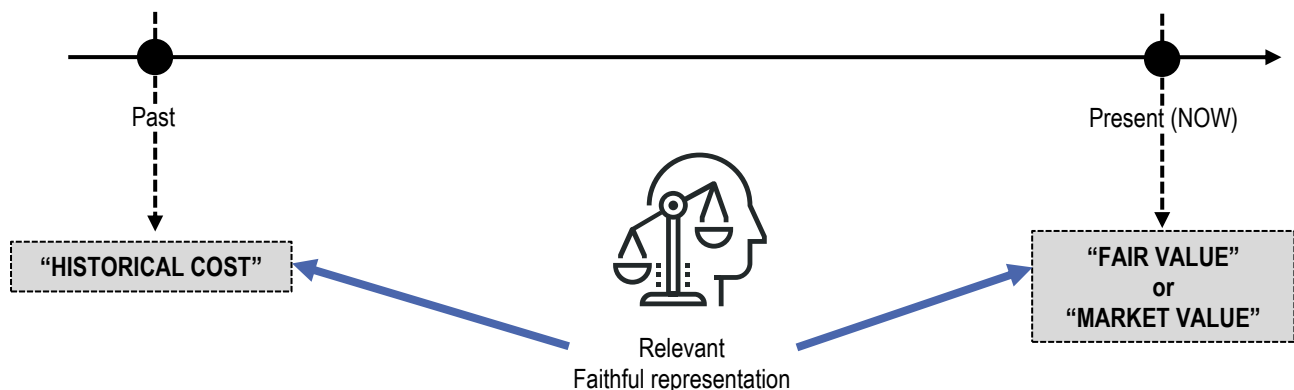


- ☐ **Impact on Current Profits:**
 - ☐ Research and Development (R&D) expenses are recorded as operating expenses on the income statement. This means that the \$34.6 billion spent by Apple on R&D during the fiscal year is subtracted from the company's revenue when calculating its operating profits.
 - ☐ Direct Impact: R&D expenses reduced Apple's operating profits for the fiscal year ending September 27, 2025. This means that Apple's reported profit for the year would be significantly higher if these R&D costs had not been incurred.
- ☐ **Impact on Future Profits:**
 - ☐ Although R&D expenses reduce current profits, they are an investment in the future. The goal of R&D is to develop new products, services, or technologies that will drive future revenue and profitability. For a company like Apple, this could lead to the development of new products (e.g., iPhones, Macs, software) that generate significant sales in the coming years.
 - ☐ Expected Impact: If Apple's R&D efforts are successful, they can lead to innovations that enhance the company's product offerings, strengthen its competitive position, and ultimately increase future profits. These future profits might come from higher sales volumes, the ability to charge premium prices, or cost savings from more efficient technologies.
 - ☐ Long-Term Strategic Importance: R&D is crucial for sustaining Apple's competitive edge in the fast-paced tech industry. Continuous investment in R&D enables Apple to stay ahead of competitors, create new markets, and meet evolving consumer demands. Over time, this can lead to a strong brand, customer loyalty, and sustained revenue growth.
- ☐ **Risk and Uncertainty:** It's important to note that R&D is inherently risky. Not all R&D projects lead to successful products or innovations. Despite Apple's strong track record of innovation, the long-term benefits involve a high degree of uncertainty, and it is difficult to reliably measure the future economic benefits at the time the costs are incurred.
- ☐ **Key Takeaway:** R&D expenses are a critical part of Apple's strategy for innovation and growth. While they reduce current profits, they represent an investment in the company's future, with the potential to significantly enhance future revenues and profitability if the R&D efforts are successful. Understanding this trade-off is key to analysing the financial health and strategic direction of technology companies like Apple.



ASSETS	=	LIABILITIES	+	NET ASSETS
FUTURE: inflow PRESENT: control PAST: transaction/event Current assets: ☐ Cash ☐ Accounts receivable ☐ Investments ☐ Inventory ☐ Prepaid expenses Noncurrent assets: ☐ Investments ☐ Property, plant, and equipment (PPE) ☐ Intangible assets ☐ Goodwill		FUTURE: outflow PRESENT: obligation PAST: transaction/event Current liabilities: ☐ Accounts payable ☐ Accrued liabilities ☐ Short-term borrowings ☐ Deferred revenues ☐ Current part of long-term debt Noncurrent liabilities: ☐ Long-term debt ☐ Other long-term liabilities		Defined as residual, or "EQUITY" NET ASSETS or EQUITY = ASSETS – LIABILITIES Can be contributed or earned Contributed: ☐ Share capital (capital stock) ☐ Contributed surplus ☐ Treasury shares Earned: ☐ Retained earnings (or Accumulated Surplus) = Retained earnings (start of period) + Earnings (i.e., net income = revenues - expenses) - Distributions (e.g., dividends) ☐ Accumulated other comprehensive income (AOCI)

MEASUREMENT



When applying the fundamental qualitative characteristics, it is helpful to follow a process:

1. Consider what information about an event/transaction would be the **most relevant**.
2. Check if you can get that information and if it can **faithfully represent the underlying economic reality**. If yes, then proceed. If not, try again with the next best type of information.

Often, there's a need to balance between relevance and faithful representation.

- For example, the most relevant information (such as "fair value") might be too uncertain. In such cases, if the estimate is uncertain but still useful, we provide it along with an explanation of the uncertainties involved.
- However, if the uncertainty is too high to ensure a faithful representation, select the measurement basis that best balances relevance and faithful representation, like "historical cost," (e.g., if it significantly reduces measurement uncertainty).

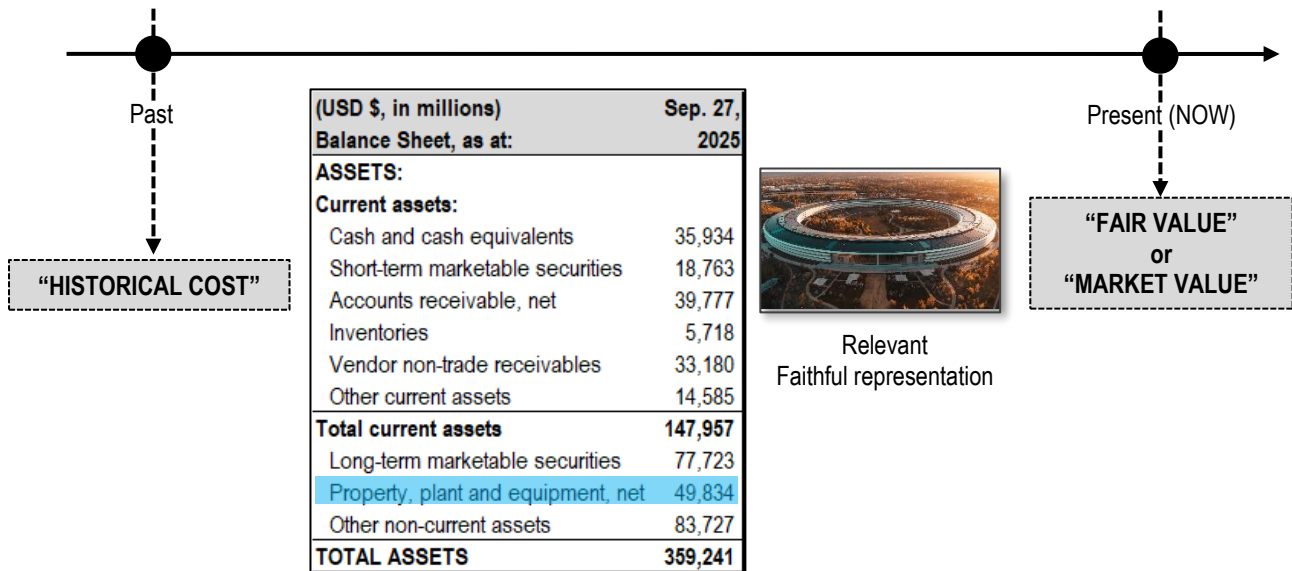
EXERCISE 2.6d: Apple Inc. HQ

In 2017, Apple completed the construction of its [\\$5 billion campus called Apple Park](#).

REFLECT: How would you want the land that Apple Park is built on to be reflected in the most recent financial statements of Apple Inc.? **Use the conceptual framework to justify your choice.**



- a) At “historical cost” (i.e., based on how much Apple “paid” for the land), or
- b) At “fair value” or “market value” as of the balance sheet date (i.e., based on how much the land is “worth”)?



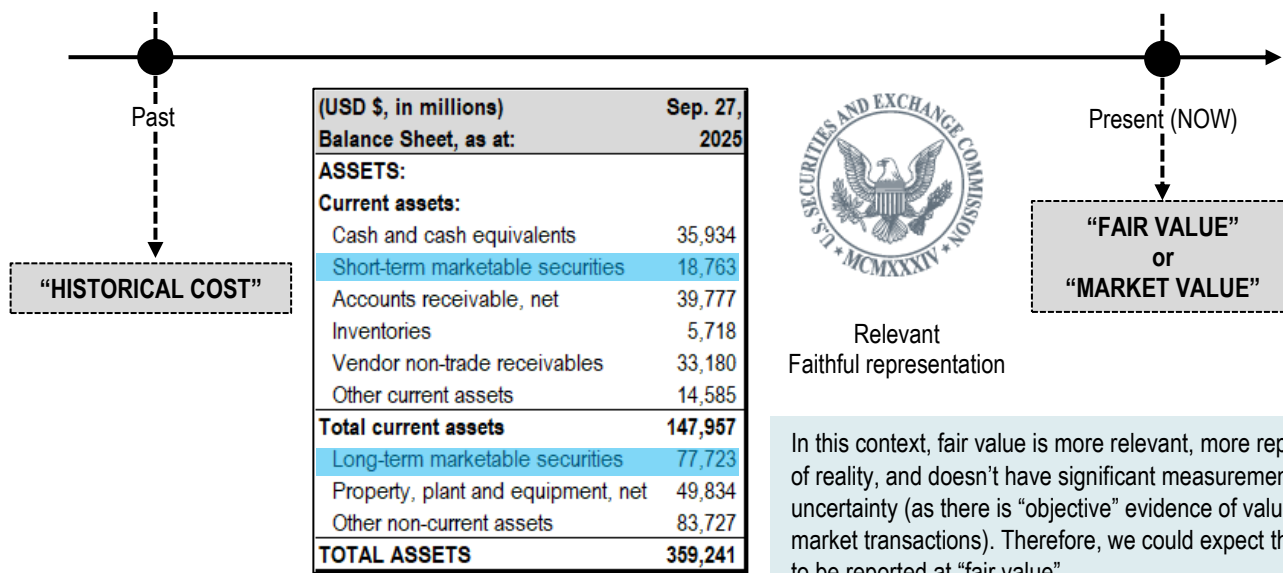
- ☐ In this context, fair value may not be as relevant. After all, Apple's intention is not to sell the land, but rather to use it for a long period of time.
- ☐ Since fair value is also hard to determine, we may expect this asset to be reported at “historical cost”.

EXERCISE 2.6e: Apple Inc. – marketable securities

Apple Inc. reported more than \$96b of “marketable securities” as of September 27, 2025 (see selected balance sheet information below). These were mostly corporate debt securities and U.S. Treasury securities.

REFLECT: When considering Apple’s balance sheet, what do you think the “marketable securities” balances represent? **Use the conceptual framework to justify your choice.**

- a) “Historical cost” (i.e., based on how much Apple “paid” for the securities at the time of purchase), or
b) “Fair value” or “market value” as of the balance sheet date (i.e., based on how much they can be sold for)?



KEY QUESTION 2.6f: What 'should' we be measuring?

If “what gets measured gets managed”, then it is critical to ask, “what *should* we be measuring”? To answer this, it might help to consider the “purpose of a corporation”. On August 19, 2019, [Business Roundtable](#) announced a new “[Statement on the Purpose of a Corporation](#)”, with the focus on “benefit of all stakeholders – customers, employees, suppliers, communities and shareholders”.

REFLECT: What are some metrics we could use to “measure” and “manage” progress in organizations? Specifically, what metrics could be used that consider financial performance as well as progress toward achievement of the purpose of each organization?

SHAREHOLDER PRIMACY

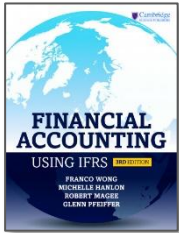
“[C]orporations exist principally to serve shareholders”



COMMITMENT TO STAKEHOLDERS

“Each of our stakeholders is essential. We commit to deliver value to all of them, for the future success of our companies, our communities and our country.”

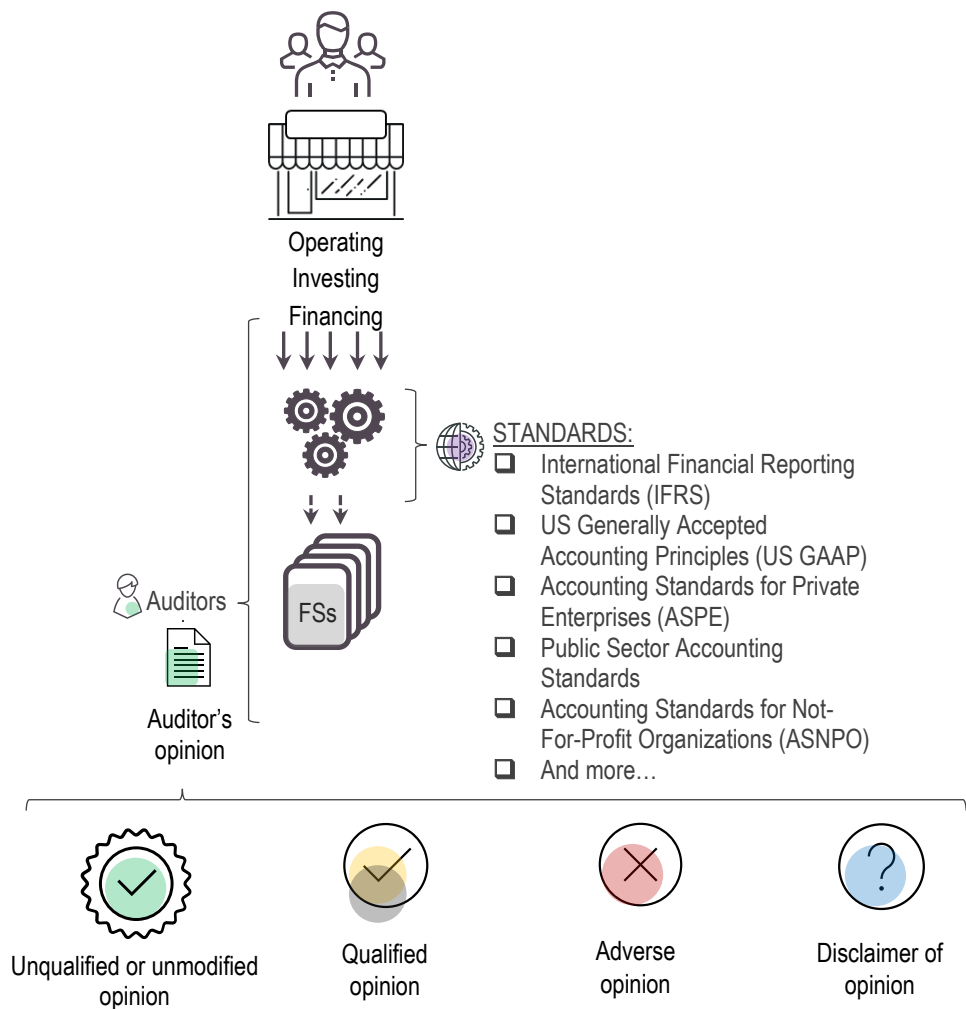
#7 | Auditors increase confidence in financial statement information



Chapter 1 | LO 4

Describe the institutions that regulate financial accounting and their role in establishing generally accepted accounting principles. (pp. 17-20)

- ❑ **Auditors** provide an opinion on whether financial statements present **fairly, in all material respects** the financial position, results of operations and cash flows in accordance with relevant accounting standards (such as IFRS, US GAAP, etc.).
- ❑ Auditors generally issue one of the following reports (opinions):
 - ❑ **Unqualified:** fair in all material respects.
 - ❑ **Qualified:** material but not pervasive misstatement, or a material but not pervasive possible impact from auditor inability to obtain sufficient appropriate evidence.
 - ❑ **Adverse:** misstatements are both material and pervasive departures from standards.
 - ❑ **Disclaimer:** the auditor cannot obtain sufficient appropriate evidence, and effects could be both material and pervasive; therefore, the auditor doesn't express an opinion.



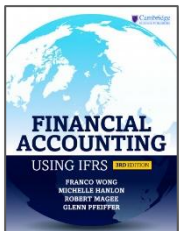
EXERCISE 2.7: Audit opinions

REFLECT: Classify each organization's audit opinion using the excerpts in the [Appendix](#).

Organization	Opinion type			
	Unqualified	Qualified	Adverse	Disclaimer
Apple Inc				
Province of Ontario (2017)				
Organization "X"				

PART 3: ANALYSING TRANSACTIONS (INTRODUCTION)

KEY POINT | We use the accounting equation to analyze transactions & events



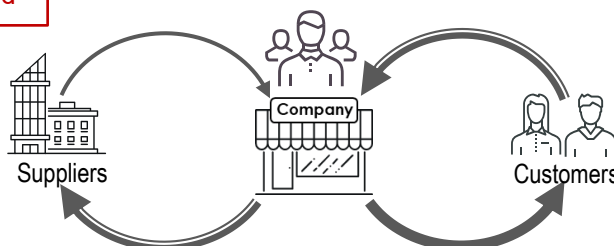
Chapter 2 | LOs 2, 4, and 5

- ☐ Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)
- ☐ Explain revenue recognition, accrual accounting, and their effects on retained earnings. (pp. 50-56)
- ☐ Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)

Process for understanding the impact of specific decisions, transactions, and events:

- ☐ **Use the basic accounting equation** to analyze the impact of transactions, events, and decisions on the financial statements. You can use the following steps:
 1. **Deeply understand the transaction, event, or decision.** What are the motivations or intentions behind it? What are the contractual or legal implications? Focus on the underlying economic and legal features and implications; don't worry about "accounting" at this stage. It is helpful to visualize what is "given up" and what is "received" in a transaction. If some part of the transaction happens in the future, then drawing a timeline can be very helpful.
 2. **Map the transaction, event, or decision to the accounting equation.** Remember the key definitions of all financial statement elements and work from left to right (i.e., start with assets, then consider liabilities, and finally review the impact on residual equity – if any).
- ☐ **Transactions are recorded as they happen.** They are also reviewed at the end of each reporting period and adjusted as needed.

STEP 1: Deeply understand



STEP 2: Map to the accounting equation

ASSETS

FUTURE: inflow
PRESENT: control
PAST: transaction/event

Current assets:

- ☐ Cash
- ☐ Accounts receivable
- ☐ Investments
- ☐ Inventory
- ☐ Prepaid expenses

Noncurrent assets:

- ☐ Investments
- ☐ Property, plant, and equipment (PPE)
- ☐ Intangible assets
- ☐ Goodwill

=

LIABILITIES

FUTURE: outflow
PRESENT: obligation
PAST: transaction/event

Current liabilities:

- ☐ Accounts payable
- ☐ Accrued liabilities
- ☐ Short-term borrowings
- ☐ Deferred revenues
- ☐ Current part of long-term debt

Noncurrent liabilities:

- ☐ Long-term debt
- ☐ Other long-term liabilities

+

EQUITY

Defined as residual:
EQUITY = ASSETS – LIABILITIES
 Can be **contributed** or **earned**

Contributed:

- ☐ **Share capital (capital stock)**
- ☐ Contributed surplus
- ☐ Treasury shares

Earned:

- ☐ **Retained earnings**
 = Retained earnings (start of period)
 + Earnings
 - Distributions (e.g., dividends)
- ☐ Accumulated other comprehensive income (AOCI)

EXERCISE: Total Health Limited (THL)

EXERCISE: Total Health Limited (THL)

Total Health Limited is a new company selling health and fitness products.

REQUIRED: Analyze the transactions below. Map the impact of each transaction (and any required adjustments) to the accounting equation.

July Transactions

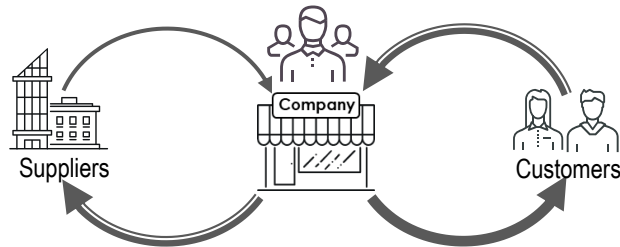
Ref.	Description
1.1	On July 1 st , investors contributed \$10,000 in cash to start Total Health Ltd. (THL). They received 500 common shares.
1.2	On July 15 th , THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.
1.3	On July 31 st , Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31 st . THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1 st , and it covers the interest relating to the month of August.

August Transactions

Ref.	Description
2.1	On August 1 st , THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.
2.3	On August 15 th , THL paid for all inventory purchased on July 15 th (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).
2.4	On August 20 th , THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25 th .
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31 st .
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10 th .
2.8	On August 31 st , THL declared and paid out \$1,000 in dividends.

1.1 On July 1st, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

STEP 1: Deeply understand



STEP 2: Map to the accounting equation

ASSETS

FUTURE: inflow
PRESENT: control
PAST: transaction/event

Current assets:

- ☐ Cash
- ☐ Accounts receivable
- ☐ Inventory
- ☐ Prepaid expenses

Noncurrent assets:

- ☐ Property, plant, and equipment (PPE)
- ☐ Intangible assets
- ☐ Goodwill

=

LIABILITIES

FUTURE: outflow
PRESENT: obligation
PAST: transaction/event

Current liabilities:

- ☐ Accounts payable
- ☐ Accrued liabilities
- ☐ Short-term borrowings
- ☐ Deferred revenues
- ☐ Current part of long-term debt

Noncurrent liabilities:

- ☐ Long-term debt
- ☐ Other long-term liabilities

+

EQUITY

Defined as residual:
EQUITY = ASSETS – LIABILITIES
 Can be **contributed** or **earned**

Contributed:

- ☐ **Share capital (capital stock)**
- ☐ Contributed surplus
- ☐ Treasury shares

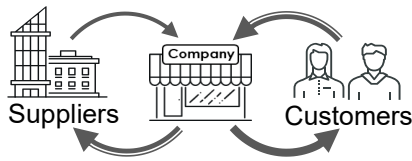
Earned:

- ☐ **Retained earnings**
 = Retained earnings (start of period)
 + Earnings
 - Distributions (e.g., dividends)
- ☐ Accumulated other comprehensive income (AOCI)

Balance Sheet					Income Statement			
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense	= Net Income
\$10,000 Financing inflow	+	N/A	=	N/A + \$10,000 Share Capital + N/A	N/A	-	N/A	= N/A

Investors contributed \$10,000 in cash, which increased THL's cash asset and created \$10,000 of contributed equity by issuing 500 common shares. This change in equity is considered "contributed" because it comes directly from investors rather than from the company's operations.

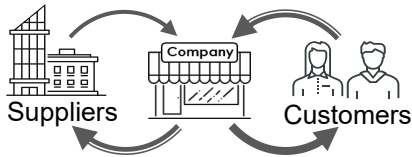
1.2 On July 15th, THL purchased \$3,000 of inventory “on account”, agreeing to pay the supplier within 30 days.



Balance Sheet									Income Statement				
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	\$3,000 Inventory	=	\$3,000 Accounts Payable	+	N/A	+	N/A	N/A	-	N/A	=	N/A

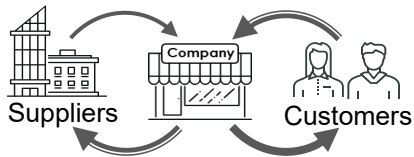
THL's purchase increased its inventory asset by \$3,000 and simultaneously increased its liabilities by \$3,000 (accounts payable) since the payment is deferred. As both assets and liabilities increase by the same amount, there is no immediate effect on equity, meaning neither contributed nor earned equity is affected by this transaction.

1.3 On July 31st, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.

[illegible]

Please analyze this transaction in preparation for next class. We will discuss it then.

1.4 To help finance the equipment purchase, THL borrowed \$6,000 on July 31st. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1st, and it covers the interest relating to the month of August.



Balance Sheet					Income Statement			
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense	= Net Income

Please analyze this transaction in preparation for next class. We will discuss it then.

APPENDIX: AUDIT OPINIONS

Example 1: Apple Inc.

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Apple Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Apple Inc. (the “Company”) as of September 27, 2025 and September 28, 2024, the related consolidated statements of operations, comprehensive income, shareholders’ equity and cash flows for each of the three years in the period ended September 27, 2025, and the related notes (collectively referred to as the “financial statements”). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at September 27, 2025 and September 28, 2024, and the results of its operations and its cash flows for each of the three years in the period ended September 27, 2025, in conformity with U.S. generally accepted accounting principles (“GAAP”).

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (“PCAOB”), the Company’s internal control over financial reporting as of September 27, 2025, based on criteria established in *Internal Control – Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated October 31, 2025 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company’s management. Our responsibility is to express an opinion on the Company’s financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB. We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matter

The critical audit matter communicated below is a matter arising from the current period audit of the financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective, or complex judgments. The communication of the critical audit matter does not alter in any way our opinion on the financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on the critical audit matter or on the account or disclosure to which it relates.

Uncertain Tax Positions

Description of the Matter

As discussed in Note 7 to the financial statements, the Company is subject to income taxes in the U.S. and numerous foreign jurisdictions. As of September 27, 2025, the total amount of gross unrecognized tax benefits was \$23.2 billion, of which \$10.6 billion, if recognized, would impact the Company’s effective tax rate. In accounting for some of the uncertain tax positions, the Company uses significant judgment in the interpretation and application of GAAP and complex domestic and international tax laws.

Auditing management’s evaluation of whether an uncertain tax position is more likely than not to be sustained and the measurement of the benefit of various tax positions can be complex, involves significant judgment, and is based on interpretations of tax laws.

...

/s/ Ernst & Young LLP

We have served as the Company’s auditor since 2009.

San Jose, California

October 31, 2025



Office of the Auditor General of Ontario
Bureau de la vérificatrice générale de l'Ontario

INDEPENDENT AUDITOR'S REPORT

To the Legislative Assembly of the Province of Ontario

I have audited the accompanying consolidated financial statements of the Province of Ontario, which comprise the consolidated statement of financial position as at March 31, 2017, and the consolidated statements of operations, change in net debt, change in accumulated deficit and cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

The Government of Ontario (Government) is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian public sector accounting standards, and for such internal control as the Government determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on these consolidated financial statements based on my audit. I conducted my audit in accordance with Canadian generally accepted auditing standards. Those standards require that I comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Government, as well as evaluating the overall presentation of the consolidated financial statements.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my qualified audit opinion.

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Effect on Consolidated Statement of Financial Position

If the Government had correctly recorded the valuation allowance against the net pension asset for the Ontario Teachers' Pension Plan and the Ontario Public Service Employees' Union Pension Plan, the effect on the consolidated statement of financial position as at March 31, 2017 and 2016 would have been as follows:

	2017 (\$ million)	2016 (\$ million)
Net pension asset as presented	11,033	9,312
Effect of valuation allowance	(12,429)	(10,985)
Net pension liability in accordance with Canadian public sector accounting standards	(1,396)	(1,673)

	2017 (\$ million)	2016 (\$ million)
Net debt as presented	(301,648)	(295,372)
Effect of valuation allowance	(12,429)	(10,985)
Net debt in accordance with Canadian public sector accounting standards	(314,077)	(306,357)

	2017 (\$ million)	2016 (\$ million)
Accumulated deficit as presented	(193,510)	(192,029)
Effect of valuation allowance	(12,429)	(10,985)
Accumulated deficit in accordance with Canadian public sector accounting standards	(205,939)	(203,014)

Inappropriate Consolidation of Independent Electricity System Operator (IESO) Market Accounts

As described in Note 16c to these consolidated financial statements, the IESO changed its accounting policy and applied it retroactively to recognize market account assets and liabilities. The market accounts track mainly buy and sell transactions between market participants (electricity power generators and power distributors). These market accounts, as recorded on the Province of Ontario's consolidated financial statements are not assets and liabilities of the Province of Ontario. The Government has no access or discretion to use the market account assets for their own benefit, nor does the Government have an obligation to settle the market account liabilities in the event of default by market participants. As a result, Other Assets and Other Liabilities are both overstated by \$1.652 billion (2016 – \$1.443 billion). There is no effect on the Consolidated Statement of Operations.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion paragraphs, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Province of Ontario as at March 31, 2017, and the consolidated results of its operations, change in its net debt, change in its accumulated deficit and its cash flows for the year then ended in accordance with Canadian public sector accounting standards.

Other Matters

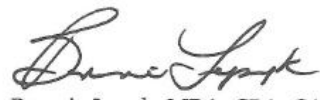
Use of Rate-regulated Accounting May Cause a Material Misstatement on the Consolidated Financial Statements of the Province of Ontario

I draw attention to Note 16c to these consolidated financial statements, which describes the Independent Electricity System Operator's retroactive adoption of rate-regulated accounting during the year. The recognition of rate regulated assets on the consolidated financial statements of the Province of Ontario is not permitted when applying Canadian public sector accounting standards. This departure does not have a material impact on the Province of Ontario's consolidated financial statements for the year ended March 31, 2017 and my opinion is not modified in respect of this matter. However, the consolidated financial statements may become materially misstated in future periods, as a result of the legislated accounting prescribed under the *Ontario Fair Hydro Plan Act, 2017* (Fair Hydro Plan) and its related regulations as it is not in accordance with Canadian public sector accounting standards.

Financial Statement Discussion and Analysis

I draw attention to the Province of Ontario's Financial Statement Discussion and Analysis that discusses the Province of Ontario's financial results without properly reflecting the valuation allowance required in respect of the net pension asset and the recognition of market accounts, as discussed in the Basis for Qualified Opinion paragraphs above.

Toronto, Ontario
August 18, 2017


Bonnie Lysyk, MBA, CPA, CA, LPA
Auditor General

☐ For additional information see the following:

- ☐ <https://www.cp24.com/news/ontario-auditor-not-satisfied-after-panel-s-report-on-10-7b-pension-dispute-1.3289356>
- ☐ <https://www.benefitscanada.com/news/bencan/union-agrees-with-auditor-general-on-pension-accounting-conflict/>
- ☐ <https://news.ontario.ca/en/release/43732/pension-asset-expert-advisory-panel-submits-report>

Example 3: Organization “X” - selected

Accrual-Based Consolidated Financial Statements

The [REDACTED] is not able to demonstrate the reliability of significant portions of the accompanying accrual-based consolidated financial statements as of and for the fiscal years ended September 30, 2025, and 2024, principally because of limitations related to certain material weaknesses in internal control over financial reporting and other limitations affecting the reliability of these financial statements and the scope of our work. As a result of these limitations, readers are cautioned that amounts reported in the accrual-based consolidated financial statements and related notes may not be reliable.

The [REDACTED] did not maintain adequate systems or have sufficient appropriate evidence to support certain material information reported in the accompanying accrual-based consolidated financial statements. The underlying material weaknesses in internal control, which generally have existed for years, contributed to our disclaimer of opinion on the accrual-based consolidated financial statements.

- ☐ This is the audit report on the consolidated financial statements of the U.S. Government. For more information see <https://www.gao.gov/assets/gao-26-108073.pdf>

NOTES AND REFLECTIONS

Most important ideas/points:

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